

HIGH COURT · JUDGMENT DIGEST

Rakesh Singh v. State of U.P. Through Principal Secretary, Energy & Ors.

MISC. BENCH No. 27324 of 2019 | High Court of Judicature at Allahabad, Lucknow Bench | 30 September 2019

COURT	High Court of Judicature at Allahabad, Lucknow Bench (Division Bench)
CORAM	Hon'ble Mr. Justice Pankaj Kumar Jaiswal & Hon'ble Mr. Justice Irshad Ali
DATE OF JUDGMENT	30 September 2019
NATURE OF PROCEEDING	Writ Petition under Article 226 of the Constitution of India challenging a demand notice dated 14.8.2019 issued under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, and assailing the assessment sheet
PARTIES	Rakesh Singh, Manager, Babu Sant Bux Shiv Murti Singh Shikshan Sansthan (a registered trust running a pharmacy college) (petitioner) v. State of U.P. Through Principal Secretary, Energy & Ors. (respondents)
PROVISIONS	Sections 3 (U.P. Dues Recovery Act, 1958), 50, 126, 127, 135, 150, 153, 154(1), 154(5), 154(6), 173 (Electricity Act, 2003); Article 226, Constitution of India; Code of Criminal Procedure, 1973; Indian Trust Act, 1882
RESULT	Writ Petition dismissed. The Court held that assessment under Section 126 of the Electricity Act, 2003 must be made even in cases where an offence under Section 135 (theft of electricity) has been committed, and the demand notice based on assessment was not illegal or vitiated.

POINT FOR DETERMINATION

- Whether, in a case where an FIR has been lodged and a final police report filed under Section 135 of the Electricity Act, 2003 (theft of electricity), concurrent assessment proceedings can be undertaken under Section 126 of the Act (unauthorised use of electricity).
- Whether the assessment regime under Section 126 and the criminal prosecution regime under Section 135 are mutually exclusive or can operate in parallel on the same facts.

FACTS

The petitioner, Rakesh Singh, was Manager of Babu Sant Bux Shiv Murti Singh Shikshan Sansthan, a registered trust under the Indian Trust Act, 1882, running a pharmacy college at Village Banveer Kachh, Pratapgarh, U.P. The trust held two electricity connections: a 5 HP general scheme connection (Account No. 741905720031) and a 7 KW commercial connection (Account No. 741801139256).

On 5 April 2019, an investigation team of the Electricity Distribution Division inspected the college premises and found that 4 KW of electricity was unauthorisedly connected directly from the LMV-2 cable, whereas the agreed load was only 2 KW from the transformer. An FIR was lodged under Section 135 of the Electricity Act, 2003 (Crime No. 323 of 2019).

On 17 June 2019, a notice was issued requiring the petitioner to submit proof or pay Rs. 6,27,557 by 5 July 2019. The petitioner submitted a reply on 27 June 2019 with documentary evidence. On 19 July 2019, he filed an application with the Subdivisional Officer stating that electricity dues for two connections were regularly paid and that one account was closed due to double billing. Subsequently, on 14 August 2019, a demand notice for Rs. 6,27,596 was issued under Section 3 of the U.P. Dues Recovery Act, 1958.

The petitioner challenged the demand notice via this writ petition, contending that no final assessment order had been communicated before the demand was raised, and that once criminal proceedings under Section 135 were initiated, civil assessment under Section 126 could not be undertaken.

REASONING OF THE COURT

HEADNOTE

In a case of alleged theft of electricity where an FIR is lodged under Section 135 of the Electricity Act, 2003, assessment proceedings under Section 126 (unauthorised use) need not be suspended or abandoned. Section 126 operates on the broad concept of “unauthorised use of electricity” — a genus defined without reference to mens rea — whereas Section 135 addresses theft, a dishonest subset of unauthorised use. The two sections occupy distinct legal domains: Section 126 addresses civil liability and recovery, Section 135 addresses criminal liability. They do not exclude each other. Section 135(1A), proviso 3, itself contemplates deposit of “assessed amount” as contemplated by Section 126, confirming that assessment must proceed in theft cases. The U.P. Electricity Supply Code, 2005, framed under Section 50, prescribes detailed assessment procedures in theft cases with notice and hearing. Appeal lies under Section 127. The Special Court, under Section 154(5), finally determines civil liability, with refund of excess deposits under Section 154(6). Accordingly, assessment under Section 126 must proceed alongside criminal proceedings under Section 135.

Sections 126 and 135 operate in complementary legal spheres without mutual exclusion. Part XII of the Electricity Act, 2003 (Investigation and Enforcement) contains Section 126, which empowers assessment of civil liability. Part XIV (Offences and Penalties) contains Section 135, which prescribes criminal punishment for theft. Section 126 requires the assessing officer to find “unauthorised use of electricity” (defined in explanation (b) as usage by artificial means, unauthorised means, tampered meter, or for unauthorised purpose or premises) without requiring mens rea. Section 135 requires dishonest intent. The definition of unauthorised use in Section 126, explanation (b) is comprehensive and covers all instances detailed in Section 135(1)(a) to (e). Therefore, theft (Section 135) is a subcategory of unauthorised use (Section 126), distinguished only by dishonesty. The legislative scheme contemplates both provisions applying to the same facts without one excluding the other.

Section 135(1A), proviso 3 expressly contemplates assessed amount under Section 126 even in theft cases. The sixth proviso to Section 135(1) provides: “the licensee or supplier, as the case may be, on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of this Act, shall without prejudice to the obligation to lodge the complaint as referred to in the second proviso to this clause, restore the supply line of electricity within forty-eight hours of such deposit or payment.” The term “assessed amount” refers to the amount assessed under Section 126. If no assessment were to be made in theft cases, this provision would be meaningless.

Section 135(1A), proviso 3 thus mandates that assessment under Section 126 must occur in theft cases, and that the licensee must restore supply upon deposit of the assessed amount.

The U.P. Electricity Supply Code, 2005, mandates assessment procedure with due process even in theft cases.

The Code, framed in exercise of powers under Section 50, contains detailed provisions for assessment in theft cases. Clause 8.1(a) is titled “Procedure to be adopted by licensee for Inspection, Provisional Assessment Hearing and Final assessment in case of theft of electricity under Section 135 of the Act.” Clause 8.1(b)(iii) requires that within 3 working days of inspection, the Authorized Officer shall serve a provisional assessment bill with a show-cause notice, inviting objections and requiring the consumer’s attendance, with 15 working days for hearing. Clause 8.1(b)(iv) provides that after hearing, if theft is established, assessment shall be made at twice the applicable tariff. Clause 8.1(b)(v) requires that a speaking order be served on the consumer under proper receipt. This detailed statutory scheme demonstrates legislative intent that both Section 126 assessment and Section 135 criminal proceedings must proceed in theft cases, with proper notice and hearing.

Prior Division Bench authority confirms that assessment under Section 126 applies to theft cases. In *M/s Paliwal*

Alloys Pvt Ltd. (2009 (7) ADJ 455), a Division Bench of this Court held that theft of electricity under Section 135 is also unauthorised use for which assessment under Section 126 is contemplated. The Bench reasoned: (1) The definition of unauthorised use in Section 126, explanation (b) is wide and covers theft; (2) theft, though elaborately defined in Section 135, falls within the definition of unauthorised use; (3) Section 126 does not indicate that assessment shall not be made if unauthorised use becomes theft; (4) Section 135 does not indicate that assessment under Section 126 is not to be undertaken in theft cases; (5) Section 135(1A), third proviso, uses the words “assessed amount” which refers to Section 126 assessment; (6) the scheme of the 2003 Act contemplates assessment in all categories of unauthorised use including theft, and the submission that appeal cannot be filed because no assessment is made in theft cases deserves to be rejected.

The right of appeal under Section 127 extends to assessments in theft cases. In *Ashok Kumar and others v. State*

of U.P. and others (2008 (6) ADJ 669), a Division Bench held that unauthorised use of electricity as defined in Section 126, explanation (b) covers certain acts that constitute offences under Section 135, and that no person can be indicted for unauthorised use unless given an opportunity of hearing before conclusion. In *Radha Krishna Cold Storage v. State of U.P. and others* (WP No. 19574 of 2008), this Court held that the order under challenge in a writ petition is the assessment order (which can be passed only under Section 126), and mere non-mention or incorrect mention of the relevant provision does not vitiate it. The settled legal proposition is that the right of appeal given by Section 127 cannot be taken away by any subordinate rule.

The Special Court mechanism under Section 154(5)–(6) provides supervisory determination of civil liability in

theft cases. Section 154(5) provides that the Special Court shall determine civil liability against a consumer for theft, not less than twice the tariff rate for twelve months preceding detection or the exact period of theft, whichever is less. Section 154(6) provides that if the civil liability finally determined by the Special Court is less than the amount deposited, the excess shall be refunded with interest at the prevailing RBI prime lending rate. These provisions confirm that the provisional assessment by the assessing officer is not final or unilateral but subject to Special Court review. The dual mechanism—provisional assessment, appeal under Section 127, and Special Court determination—ensures that the consumer’s rights are protected while enabling recovery.

The petitioner’s proper remedy is appeal, not writ-petition invalidation of the assessment.

The petitioner’s challenge is procedural: that because an FIR was lodged under Section 135, no assessment can be made under Section 126. Having received the provisional assessment bill, the petitioner’s remedy is to file an appeal under Section 127 against the assessed amount and the assessment order. Alternatively, the matter will come before the Special Court under Section 154 for final determination of civil liability. The writ petition, challenging the very foundation of the

demand on the ground that concurrent criminal proceedings preclude civil assessment, lacks merit in light of the scheme of the Act.

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003 — CONCURRENT OPERATION OF CIVIL ASSESSMENT AND CRIMINAL THEFT PROVISIONS

Section 126 — Provisional and Final Assessment for Unauthorised Use

Section 126(1) requires the assessing officer, upon inspection and finding of unauthorised use, to provisionally assess electricity charges. Section 126(3) entitles the consumer to file objections and requires reasonable opportunity of hearing; Section 126(6) prescribes assessment at twice the tariff rate. “Unauthorised use” is defined in explanation (b) as usage by artificial means, unauthorised means, tampered meter, or for unauthorised purpose or premises. The definition contains no requirement of mens rea. Thus, Section 126 addresses civil malpractice (negligent or intentional violation of terms of supply) for which the licensee seeks to recover loss of revenue.

Section 135 — Theft of Electricity (criminal offence requiring mens rea)

Section 135(1) penalizes dishonest conduct: tapping, meter tampering, destruction of equipment, use through tampered meter, or use for unauthorised purpose with intent to abstract electricity. Section 135 requires dishonest mens rea. Section 135(1A) permits immediate disconnection on prima facie finding of theft without prior notice; however, proviso 3 requires that upon deposit of “assessed amount” (under Section 126), supply be restored within 48 hours. This cross-reference to assessment under Section 126 within Section 135 itself establishes that civil assessment is contemplated in theft cases. Offences under Section 135 are triable by Special Courts (Sections 153–154), which also determine civil liability (Section 154(5)).

Section 127 — Appeal Against Assessment (applies to all assessment orders)

Section 127 provides for appeal against final assessment orders under Section 126. Although Section 135 does not expressly mention Section 127, an assessment arising from detected theft must be treated as an assessment order under Section 126 (the provision that authorizes assessment in all unauthorised use cases, including theft). The right of appeal is a substantive statutory right. Where an assessment order is issued but wrongly cited as Section 135 instead of Section 126, if it is in substance an assessment order, appeal lies under Section 127. Subordinate rules cannot diminish this statutory right.

Section 154(5) & 154(6) — Special Court Supervision and Refund Mechanism

The Special Court, while trying an offence under Section 135, must determine the civil liability of the consumer at no less than twice the applicable tariff for twelve months preceding detection or the exact period of theft, whichever is less (Section 154(5)). This assessment is carried out after full evidence and argument at trial. If the liability finally determined is less than the amount deposited provisionally, the excess is refunded with interest (Section 154(6)). This two-stage process—provisional assessment by the assessing officer followed by final determination by the Special Court—confirms that the assessing officer’s assessment is not unilateral or final, but rather a reviewable initial step subject to appellate challenge and Special Court supervision.

RATIO DECIDENDI

In a case of alleged theft of electricity under Section 135 of the Electricity Act, 2003, assessment under Section 126 for unauthorised use may and must proceed notwithstanding the lodging of an FIR and the filing of a final police report. Section 126 (civil assessment) and Section 135 (criminal theft) operate in distinct legal spheres and are not mutually

exclusive. Theft of electricity is a subset of unauthorised use, differing only in the dishonest mens rea. The statutory rules framed under Section 50 (notably, the U.P. Electricity Supply Code, 2005) mandate that assessment be made in theft cases with due notice and hearing. The right of appeal under Section 127 applies to such assessments. The Special Court, under Section 154(5), finally determines civil liability, with refund of excess deposits under Section 154(6). Accordingly, concurrent operation of Sections 126 and 135 in relation to the same conduct is permissible and does not render the assessment void or unenforceable.

ALSO HELD & OBITER

- **Subordinate rules cannot curtail substantive statutory rights of appeal.** Although the U.P. Electricity Supply Code, 2005 does not expressly state that appeal lies in theft cases, the right of appeal is granted by Section 127 of the principal Act and cannot be taken away by subordinate rules. If an assessment order is wrongly cited under Section 135 instead of Section 126, the order remains an assessment order under Section 126, to which Section 127 applies. This is a settled legal proposition.
- **Criminal prosecution and civil assessment liability are parallel and independent consequences.** A person found indulging in theft faces both: criminal punishment under Section 135 (imprisonment up to three years, fine, or both, with enhanced penalties for repeated offences) and civil liability in the form of assessment and recovery of twice the tariff rate. The two are independent; the absence of a criminal conviction does not preclude civil assessment, nor does the filing of an FIR suspend the civil machinery.

DISPOSITION

The Writ Petition is dismissed. No interference under Article 226 of the Constitution of India is called for. The petitioner's challenge to the demand notice dated 14 August 2019 and the assessment sheet is rejected. The assessment under Section 126 of the Electricity Act, 2003 is valid, and the amount of Rs. 6,27,596 remains recoverable in accordance with the provisions of the Act and the Rules framed thereunder.

SIGNIFICANCE

This Division Bench judgment clarifies the relationship between the civil assessment regime (Section 126) and the criminal theft regime (Section 135) of the Electricity Act, 2003. Five principles emerge:

- **Sections 126 and 135 are complementary, operating in distinct but non-exclusive domains.** The judgment definitively establishes that theft of electricity, though a criminal offence under Section 135 requiring dishonest mens rea, is a subcategory of "unauthorised use" under Section 126 (which requires no mens rea). Both provisions apply to the same facts without one negating the other: Section 126 addresses civil liability and recovery; Section 135 addresses criminal culpability and punishment.
- **Subsidiary legislation (Supply Code) supplies assessment procedure in theft cases.** Although Section 135 prescribes no detailed procedure for civil assessment, the Electricity Supply Code notified under Section 50 mandates that assessment be made with notice, show-cause opportunity, hearing, and issue of a speaking order. This delegation to subsidiary legislation ensures due process even where the principal Act is silent on procedure.
- **Appeal rights under Section 127 are preserved and cannot be abrogated.** A consumer may appeal against an assessment order in a theft case under Section 127, even though Section 135 does not expressly mention that section. Substantive rights conferred by the principal Act cannot be negated by subordinate rules or by the nature of the conduct charged.

- **The Special Court acts as a final arbiter and safeguard on assessment.** The mechanism under Section 154(5)–(6) (final liability determination by the Special Court with mandatory refund of excess) confirms that the assessing officer’s provisional assessment is not final and unilateral. This layered system—assessing officer, consumer appeal, Special Court final determination, and refund—protects the consumer while enabling the licensee to recover legitimate losses.
- **FIR and criminal investigation do not extinguish or suspend civil liability.** The judgment definitively holds that the filing of an FIR under Section 135, investigation by police, or the filing of a final report under Section 173 CrPC do not freeze or invalidate the civil assessment process under Section 126. The licensee may proceed to raise a provisional bill and issue a demand based on the assessed amount. The consumer’s remedy is appeal, not writ-petition invalidation.

TABLE OF AUTHORITIES

Authorities discussed or cited in the judgment, with the treatment each received. “Relied on,” “Applied,” and “Referred” reflect how the Court employed each authority.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>M/s Paliwal Alloys Pvt Ltd. v. [Respondent]</i> 2009 (7) ADJ 455 · Allahabad High Court (Division Bench)	Theft of electricity under Section 135 is also unauthorised use for which assessment under Section 126 is contemplated. The definition of “unauthorised use” in Section 126, explanation (b) is comprehensive and covers theft. Section 126 does not exclude assessment in theft cases; Section 135(1A), proviso 3, explicitly references “assessed amount” under Section 126; the scheme of the 2003 Act contemplates assessment in all categories of unauthorised use including theft; appeal under Section 127 lies to assessments in theft cases.	Relied on
<i>Ashok Kumar and others v. State of U.P. and others</i> 2008 (6) Allahabad Daily Judgments 669 · Allahabad High Court (Division Bench)	Unauthorised use of electricity as defined in explanation (b) of Section 126 covers acts that constitute offences under Section 135. No person can be indicted and held guilty of unauthorised use unless given an opportunity of hearing before conclusion of assessment. Natural justice and procedural fairness require opportunity of hearing even in theft cases.	Relied on
<i>Radha Krishna Cold Storage v. State of U.P. and others</i> Writ Petition No. 19574 of 2008 · Allahabad High Court (Division Bench)	The order under challenge is an assessment order (which can be passed only under Section 126) even if wrongly cited under Section 135; mere non-mention or incorrect mention of the relevant provision does not vitiate it. Substantive statutory rights of appeal cannot be taken away by any provision framed in subordinate rules.	Relied on
<i>Chairman, West Bengal State Electricity Board and others v. Syed Mukbul Hossain and others</i> (2009) 2 SCC 727 · Supreme Court of India	Affirmed the right of appeal under Section 127 in cases of theft of electricity, confirming that assessment procedures must afford statutory appeal rights and due process.	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.